Bowlero Corp. (NYSE: BOWL)

Recommendation: Long

Investment Presentation

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Investment Thesis

- **Thesis 1: Leading Operational Efficiency Drives Same Store Spend**
  - Utilizing bundles for games played and F&B options to encourage more games played/customer and wallet spend/customer
  - Installation of self-ordering kiosks at lanes to increase sales at minimal recurring costs (increasing operating leverage given the reduction in variable costs per additional sale), which the market will realize as wage costs continue to rise across the US
- **Thesis 2: Consistent ROI on Organic and Inorganic Expansion**
  - Market leader of an industry that is poised to grow and consolidate allowing for investment opportunities
  - ABC strategy (Acquisitions, New Builds, and Conversions) has promise with ROIs in the 30s and immediate margin increases
  - Organic growth is not factored into street expectations because of worries about foot traffic, leading to lower valuations
- **Thesis 3: Synergy Opportunities with Fast-Growing Sports Betting Market in US**
  - Sports gambling is a fast-growing market in the US, producing revenues of 4-8% of total amount wagered
  - Bowlero is launching the MoneyBowl app that will allow customers to bet on their own bowling ability
  - This low-cost stream of revenue will significantly increase the bottom line once full roll out is completed
- **Catalysts:**
  - Full integration of MoneyBowl program by Q2'24 with tangible references to program's impact in earnings reports and calls
  - Top and bottom-line beats above estimates in FY24, demonstrating resilience through uncertain macro conditions in traditionally sluggish periods
  - Acquisitions in alignment with their long-term growth plan as consolidation of domestic bowling market continues (H2'24)

Mispricing Story

- The Street has not fully accounted for Bowlero's acquisition of the Lucky Strike brand and locations. An investigation by Bragar Eagel & Squire, P.C. on potential accounting errors around the acquisition of the brand brought into question Lucky Strike's viability.
- Due to an unfavorable macroeconomic outlook for the consumer discretionary sector, management and the Street have taken conservative stances in terms of top and bottom-line growth. However, Bowlero has strong precedent and pipeline for top-line growth with management committing to long-term growth strategies that can and will outperform street expectations of single-digit growth.

Sources: Company Filings

Business Overview

Bowlero is the global leader in bowling entertainment, media, and events with a dominant position in the North American market.

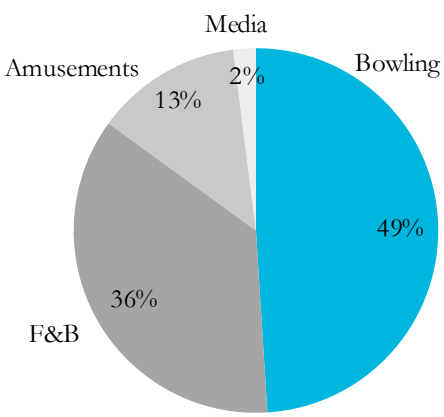
Company Overview

- The original Bowlmor Lanes was opened in 1938, later being acquired by Tom Shannon in 1997 with the mission to revolutionize bowling by **creating a modern and upscale bowling experience**
- In 2018, Bowlmor AMF became Bowlero Corporation before going public on the NYSE in May of 2021 under the ticker BOWL
- Bowlero is now the world's largest operator of bowling entertainment centers with **345 locations** across North America serving **over 30 million customers a year**
- Bowlero operates under the **3 core brands** of Bowlero, Lucky Strike, and AMF

Management Changes/Overview

- Tom Shannon recently succeeded the president position in July of 2023 and was the original founder of Bowlero. Shannon has been able to help **grow the company through multiple controversies and recessionary periods**, giving us confidence in his management regardless of economic conditions
- Bobby Lavan was brought in as the new CFO from Bally's Corporation in May of 2023. Lavan brings with him experience in the **sport's betting space** with an understanding of providing value to investors from his extensive time as an investment analyst in various investment management companies
- Brett Parker was former Vice Chairman, President, and CFO of Bowlero before ceding his position to new management due to health concerns. Parker remains on the Board of Directors

Revenue Segments & Key Metrics



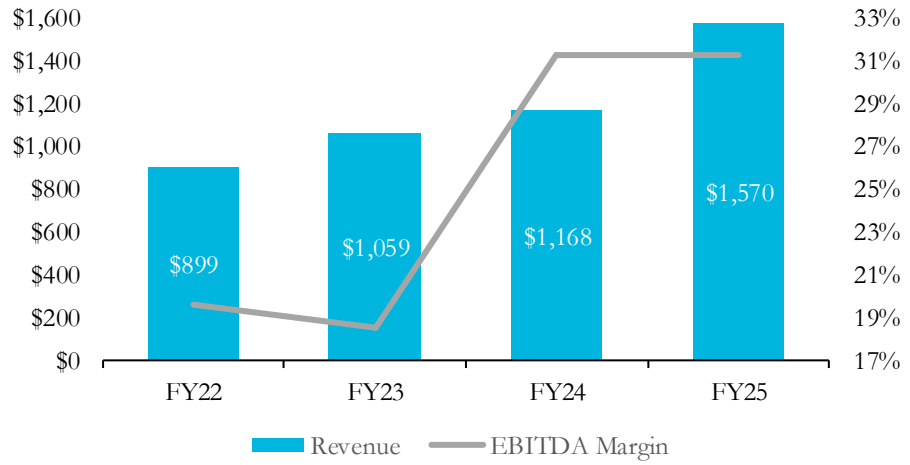
Share Price: $10.52

Market Cap: $1.70B

EBITDAR: 51%

AUV: $3M

Revenue ($MM) & EBITDA Margin



Source: BusinessWire, Company Filings, LinkedIn, S&P Capital IQ, WSJ

Competitive Landscape

Bowlero provides an all-inclusive experience to customers without dominant true competitors.

Bowling

Market Features

- Bowling centers are a **highly fragmented market** as ~3500 North American bowling centers are **independently owned**
- Bowlero is **6.5x larger** than Main Event, its next largest competitor

Competitive Dynamics

- Bowlero has an extensive collection of bowling centers and brands, making it a market leader with **~8% market share and ~20% market share as a proportion of the bowling TAM** in a highly fragmented market

Substitutes

Key Substitutes

- Alternative sporting experiences from companies such as Topgolf and Vail Resorts charge higher prices and therefore **generate greater revenue**
- The target demographic of Location-Based Entertainment (LBE) companies are **aged 21-39**, specifically **young families**
- **Outdoor activities** such as amusement parks and concerts **experience greater seasonality** due to their cyclical business model relative to indoor activities
- Global LBE market is projected to grow at a **CAGR of 26.7%** by 2032 as technological developments drive diversified experiences

Competitive Dynamics

- Bowling benefits from the **trade-down effect** in times of economic slowdown, **garnering greater event spend** compared to other LBE companies
- Bowling centers are designed to **incentivize social interactions**, making them fit for group activities and corporate events
- The LBE market is highly dependent on **spatial limitations** and **climate conditions** in terms of center supply
- Large scale LBE centers traditionally see **longer payback periods upwards of 16.8 years** and **>3x CapEx demand**

Source: Aswath Damodaran, Company Filings, IBISWorld, Polaris Market Research

Mispricing Story

$BOWL has decreased 25.1% in 2023 due to uncertainties in M&A activity and industry trends that were overstated.

Lucky Strike Acquisition Uncertainty

- In May of 2023 Bowlero announced a $90MM all cash acquisition of Lucky Strike, a bowling chain with 14 locations in downtown districts of major metropolitan areas and a focus on a holistic entertainment experience centering around bowling. Lucky Strike centers have **double the revenue of an average Bowlero center** but have **struggled to maintain positive operating margins** Uncertainty from investors about the viability of this transaction, and possible accounting errors surrounding the deal led to an immediate price drop in BOWL at the announcement
- A Neilsen study showed **Lucky Strike's branding was significantly more impactful than Bowlero's brand**. This creates an opportunity for Bowlero to convert current locations or build new locations under the premium Lucky Strike name while leveraging their market leading operational efficiency to immediately increase margins of all Lucky Strike locations
- Despite the market's uncertainty surrounding the deal, we believe this acquisition will create significant, unrealized value to Bowlero which will lead to share price accretion

Historical Stock Performance

Unfavorable Outlooks in the Consumer Discretionary Sector

- Industry experts have predicted a **downturn in consumer discretionary spending** for FY'24 due to continuing **inflationary effects** and **debt repayment pressure**. Thus, investors have had short positions in the entertainment industry, specifically in Bowlero
- Bowlero is well positioned to handle quarterly fluctuations in consumer discretionary spending compared to its competitors. With the trend of companies requiring more employees to return to office, there will be in **increase in corporate events**, boosting that segment of bowling revenue. Bowlero will benefit from the **trade-down effect** as corporate customers look to save on events, providing **reduced risk in terms of expected cash flows**
- Consumer discretionary spending has been **surprisingly resilient** and Bowlero largely benefits from sustained or increased spending
- Through unfavorable macroeconomic conditions, **Bowlero's revenues should remain steady** through fluctuations in the consumer discretionary market and **position them to beat out competition** in the LBE market

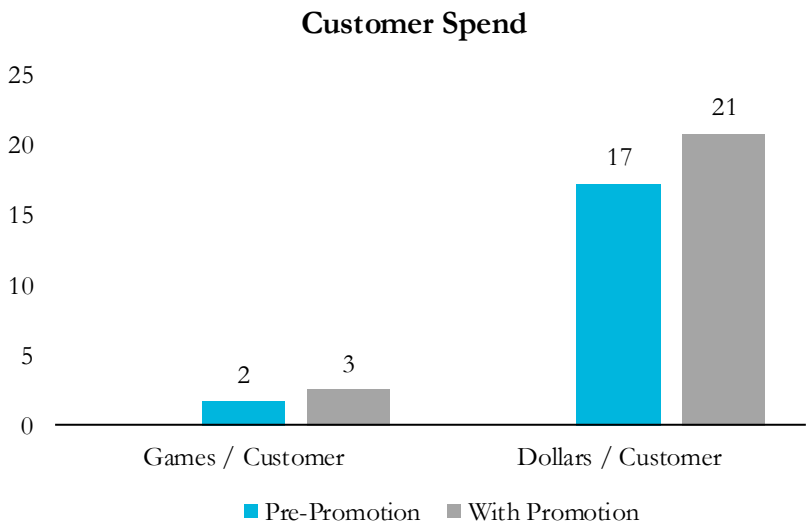
Source: BusinessWire, Company Fillings, Earnings Call, McKinsey & Company, Yahoo Finance

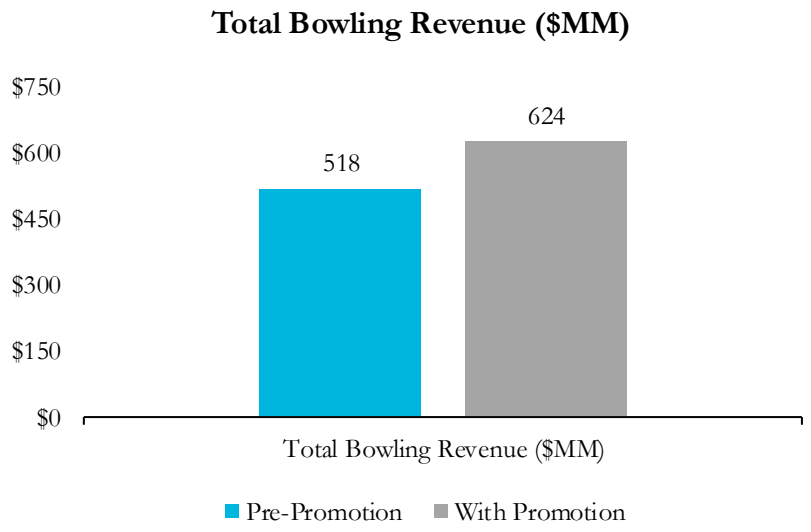
Thesis 1: Leading Operational Efficiency Drives Same Store Spend

Bowlero is a market leader with extensive operational experience and strategies to increase operational efficiency and drive same store spend.

Profitability Cultivated by S&M Investment

- Game bundles have recently been implemented, offering a 3rd game at $5 if prepaid and has **>60% take rate**. The previous averages games played per customer was 1.8; however, continued strength of the promotion would increase this to 2.58. Even when assuming plateaued foot traffic and lower revenue per game due to the discount, this promotion will lead to a **20% increase in walk-in revenue**
- Food bundles, specifically the pizza/pitcher combo, has reached **$1 million in sales in its first three weeks**. As part of training, staff are instructed to upsell this promotion using high-margin premium beers (improving sales mix and driving future FCF growth)
- Ordering kiosks are being added to lanes which will directly drive bottom line growth as customers can **purchase F&B options without an employee**. Wages are one of Bowlero's largest expenses and implementation will offset the rapidly growing cost of labor





Key Insight: Recent investments and initiatives to drive **increased same store spend** and **greater operating margins** will result in **additional FCF to Bowlero.** Bowlero will continue to experiment with **new bundling initiatives** which will continue to **drive up games and wallet spend per customer**, increasing same store spend above street expectations. Additionally, their continued **investment in technology** will continue to **increase operational efficiency.**

Sources: Earnings Presentations, Roth MKM

Thesis 2: Consistent ROI on Organic and Inorganic Expansion

ABC Strategy outlining $160M of anticipated spend allocated to Acquisitions, $40M to new Builds, and $75M to Conversions FY24.

Bowling Bound For Consolidation

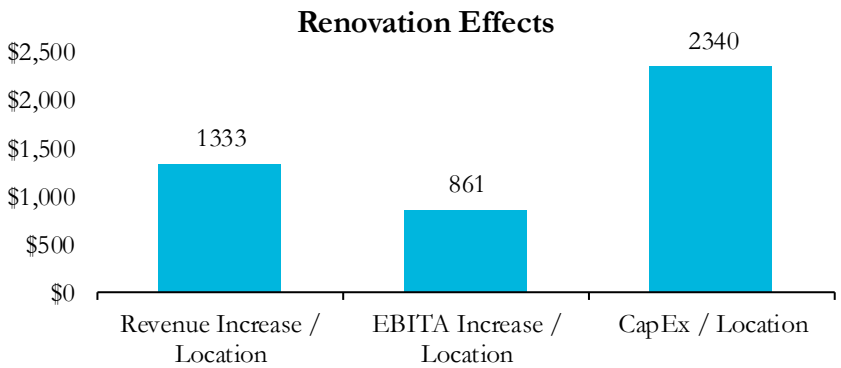
- After COVID, independent bowling centers are willing to **sell at a discount** because of decreasing profitability
- **Improved customer experience** drives greater retention, driving revenue and increasing profitability. Independently owned centers do not have the economies of scale or operational experience to implement such initiatives
- As the **market leader, Bowlero** is perfectly positioned to **benefit from** the trend of **consolidation** offering economies of scale and operational experience

Highly Accretive Growth Strategy

- Management plans to **acquire 300-400 centers over the next 5 years** which will add to revenue. Each acquisition yields an average of **25%-30% ROI** with **EBITDAR margin improvement of ~50%** above industry average of ~20%
- Bowlero is also seeking to add about **5 new builds annually** with average ROI of 33% and a payback period of 3.0 years
- Acceleration of conversions next year with **150 addressable opportunities**. Renovated centers have an average ROI of 37% with a payback period of 2.7 years each yielding **EBITDA growth improvements to 7-11%** from 2-7%
- When full conversions are unrealistic, refurbishments such as arcade upgrades average 66% ROI and a payback period of 1.5 years with **lower CapEx**

Expanding TAM

- In post-COVID America, the bowling industry saw **strong recovery and growth** from secular trends within their target demographic of people aged 21-39. Specifically, people in this age group have **greater willingness-to-pay for experiences over material goods**. TAM CAGR is predicted to be 4.45% and increase by $2.95 billion by 2026
- According to Forbes, **71% of corporate events** planned this year will be **held in person** with a **focus on value**. Bowling is a great value option and is unaffected by weather making it ideal for advance planning



Key Insight: Organic & Inorganic growth are understated in Street expectations because of worries about consumer foot traffic, leading to lower valuations. However, as the market leader of an industry poised to grow and consolidate, **Bowlero's ABC strategy** will allow for high ROI investments which **increases future revenue, operating profit, and FCFs.**

Source: Business.com, Company Reports, Forbes, Technavio, Roth MKM, Sungkyun Research Fund, WSJ

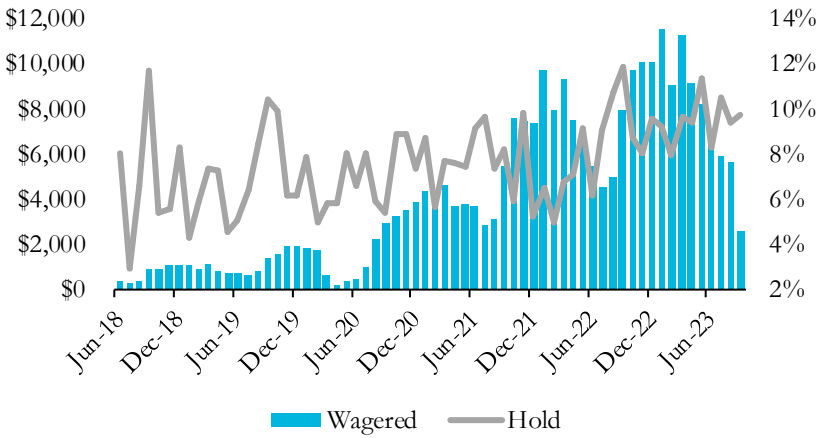
Thesis 3: Synergy Opportunities with Growing Sports Betting Market

As sports betting continues to grow in the United States, management is looking to utilize this growth with the MoneyBowl platform in FY24.

Sports Betting Industry Growth

- The US sports betting industry experienced **75% YoY revenue growth** over the course of 2022 as legalization of betting in retail, mobile and other forms **increased from 27 states to 32 states**. Legalization has since expanded to 5 more states as well as the District of Columbia
- Sports books **revenue is 4-8% of total wager (known as hold rate)**, and over $57 billion was wagered in 2022. Accounting for summer slowdowns, total wager in the United States has continued to expand as access grows.

Total Wager & Hold %



MoneyBowl Platform

- Bowlero has been looking to capitalize on the growing sports betting market, having **partnered with BettorView** to provide sports analytics and odds in Bowlero centers. While this is likely priced in, Bowlero continues to **demonstrate belief in sports betting** with their pilot of **MoneyBowl**
- MoneyBowl is a platform where customers can bet on their own ability to bowl. MoneyBowl is being **pilot tested in 64 Bowlero locations**
- Betting odds are set based on an algorithm that estimates a bowler's skill level
- In locations with legalized sports betting, bowlers above the legal betting age will be allowed to load money into accounts and **actively bet on each game played**. This will **generate its own revenue stream** which will flow almost entirely to bottom line as it has **strong unit economics** and will increase the lifetime value of each customer
- Free-to-play version will allow customers to redeem points for items on location, **encouraging additional games played** to drive bowling revenue as well as **F&B spend**
- Integration of sports betting into the Bowlero experience is a low-cost way to **increase games played** and **wallet spend**

Key Insight: MoneyBowl is a **low-cost revenue stream** that **benefits from economies of scale** provided by Bowlero's position as a market leader. The hard launch of MoneyBowl will **increase Bowlero's revenue and FCF growth** from multiple streams as synergies with their existing business model and the **growing sports betting industry** are realized.

Source: Company Filings, Legal Sports Report, Roth-MKM, Roundhill Investments, Salem News, sportsinsights.com, Yahoo Finance

Catalysts & Risks and Mitigants

Stock appreciation will require Bowlero to hit key performance points and mitigate risks for their long-term growth plan.

Catalysts

1 MoneyBowl Expansion (Q2'24)

- MoneyBowl is fully incorporated at majority of Bowlero locations with references to KPIs such as total downloads, LTV/CAC ratio, user demographics, total wager showing management commitment

2 Top and Bottom-Line Beats (FY24)

- Conservative management revenue guidance of 10%-15% for FY24
- Top line beats demonstrate greater consumer resilience, while bottom line beats demonstrate success of operational efficiency plans

3 Domestic Consolidation (H2'24)

- Attaining 10% of market share shows success of growth strategy which could cause a multiple re-rate
- As Bowlero continues to expand its market share, demonstrating its continued strong margins would increase investor confidence

Risks	Mitigants
Consumer Resilience: walk-in bowling falls as consumer discretionary spenders are less resilient than expected, decreasing revenue and hindering expansion plans	Bowlero can move league alley times to weekdays which are traditionally in lower demand, opening up high demand weekend times to maximize spend from retained consumers
Acquisition Misevaluation: Bowlero's success relies on management's growth plan and successfully identifying discounted acquisition targets with an accelerated timeline	Bowlero has been extensively underwriting acquisition targets and has flexibility in meeting annual acquisition guidance through these opportunities if centers fall below the hurdle rate
Regulation: With expansion of MoneyBowl, there is regulatory risk and limitations on a state-by-state basis as they look to implement app compatibility across locations	Outside of California, Bowlero locations are located in states which have already legalized or have pending legislation legalizing mobile petting, allowing wagering on MoneyBowl

Source: Company Filings, WSJ

Base Case Valuation & Assumptions

Valuation In Millions USD, excluding share price; Assumptions in Thousands USD

Fiscal Period	2022A	2023A	2024E	2025E	2026E	2027E	2028E
EBIT	174	200	229	307	391	479	571
Tax Rate	25%	25%	25%	25%	25%	25%	25%
NOPAT	130.69	149.86	171.39	230.44	293.62	359.54	428.20
Depreciation & Amortization	94	99	136	183	233	285	339
Changes to NWC	15	24	(35)	13	14	15	15
Capital Expenditure	162	149	198	266	358	396	494
Free Cash Flows to the Firm	**47**	**76**	**144**	**134**	**155**	**234**	**258**
Present Value of Cash Flows			**134**	**116**	**124**	**175**	**179**

Methods		Price	Weights		Contribution
DCF - Perpetuity Growth Method	$	20.28	50%	$	10.14
DCF - Exit Multiple Method	$	9.13	50%	$	4.57
Implied Blended Share Price				**$**	**14.71**

Upside / Downside		
Current Share Price		10.52
Implied Share Price	$	14.71
Upside / Downside		**40%**

	Bear	Base	Bull	Revenue Increase/Location
New Builds	1	4	7	6,000.00
Renovations	2	6	9	1,333.00
Refurbishments	1	2	3	168.00
Acquisitions	15	30	60	2,000.00

Final Recommendation: We are recommending a **BUY** of BOWL at its current share price of $10.52 (10/13/23) with a target share price of $14.71 implying **40% upside**

Source: Company Filings

Appendix

Revenue Build (Base Case)

Revenue in Thousands USD

Fiscal Period	2024 Q1E	2024 Q2E	2024 Q3E	2024 Q4E	FY 2024E	2025 Q1E	2025 Q2E	2025 Q3E	2025 Q4E	FY 2025E	FY 2026E	FY 2027E	FY 2028E
$ Thousands													
Revenue Driver													
Total Revenue	**259,245.06**	**279,111.69**	**302,019.88**	**327,469.63**	**1,167,846.25**	**353,210.94**	**379,243.81**	**405,568.25**	**432,184.25**	**1,570,207.25**	**2,000,728.25**	**2,449,909.25**	**2,917,750.25**
% Growth	*8.28%*	*7.66%*	*8.21%*	*8.43%*	*10.30%*	*7.86%*	*7.37%*	*6.94%*	*6.56%*	*34.45%*	*27.42%*	*22.45%*	*19.10%*
Average Revenue per Center	729.55	728.66	727.82	727.04	2,924.70	726.30	725.61	724.96	724.34	2,910.27	2,899.09	2,890.18	2,882.91
% Growth	*1.5%*	*-0.1%*	*-0.1%*	*-0.1%*	*-9.45%*	*-0.1%*	*-0.1%*	*-0.1%*	*-0.1%*	*-0.49%*	*-0.38%*	*-0.31%*	*-0.25%*
Revenue from Bowling	126,926.38	136,653.08	147,868.93	160,329.13	571,777.52	172,932.08	185,677.77	198,566.22	211,597.41	768,773.47	979,556.55	1,199,475.57	1,428,530.52
% Growth	*8.7%*	*7.7%*	*8.2%*	*8.4%*	*10.29%*	*7.9%*	*7.4%*	*6.9%*	*6.6%*	*34.45%*	*27.42%*	*22.45%*	*19.10%*
% of Total Revenue	*48.96%*	*48.96%*	*48.96%*	*48.96%*	*48.96%*	*48.96%*	*48.96%*	*48.96%*	*48.96%*	*48.96%*	*48.96%*	*48.96%*	*48.96%*
Revenue from Food & Beverage	91,228.34	98,219.40	106,280.79	115,236.56	410,965.10	124,294.93	133,455.90	142,719.47	152,085.64	552,555.93	704,056.27	862,123.07	1,026,756.31
% Growth	*12.3%*	*7.7%*	*8.2%*	*8.4%*	*10.29%*	*7.9%*	*7.4%*	*6.9%*	*6.6%*	*34.45%*	*27.42%*	*22.45%*	*19.10%*
% of Total Revenue	*35.19%*	*35.19%*	*35.19%*	*35.19%*	*35.19%*	*35.19%*	*35.19%*	*35.19%*	*35.19%*	*35.19%*	*35.19%*	*35.19%*	*35.19%*
Revenue from Amusements	35,309.18	38,015.01	41,135.11	44,601.36	159,060.66	48,107.33	51,653.01	55,238.40	58,863.49	213,862.23	272,499.19	333,677.64	397,397.58
% Growth	*4.0%*	*7.7%*	*8.2%*	*8.4%*	*10.30%*	*7.9%*	*7.4%*	*6.9%*	*6.6%*	*34.45%*	*27.42%*	*22.45%*	*19.10%*
% of Total Revenue	*13.62%*	*13.62%*	*13.62%*	*13.62%*	*13.62%*	*13.62%*	*13.62%*	*13.62%*	*13.62%*	*13.62%*	*13.62%*	*13.62%*	*13.62%*
Revenue from Media	5,755.24	6,196.28	6,704.84	7,269.83	25,926.19	7,841.28	8,419.21	9,003.62	9,594.49	34,858.60	44,416.17	54,387.99	64,774.06
% Growth	*-23.8%*	*7.7%*	*8.2%*	*8.4%*	*10.10%*	*7.9%*	*7.4%*	*6.9%*	*6.6%*	*34.45%*	*27.42%*	*22.45%*	*19.10%*
% of Total Revenue	*2.22%*	*2.22%*	*2.22%*	*2.22%*	*2.22%*	*2.22%*	*2.22%*	*2.22%*	*2.22%*	*2.22%*	*2.22%*	*2.22%*	*2.22%*
Predictions	**8,083.50**	**8,083.50**	**8,083.50**	**8,083.50**	**32,334.00**	**8,083.50**	**8,083.50**	**8,083.50**	**8,083.50**	**32,334.00**	**32,334.00**	**32,334.00**	**32,334.00**
Bull	13,625.25	13,625.25	13,625.25	13,625.25	**54,501.00**	13,625.25	13,625.25	13,625.25	13,625.25	**54,501.00**	**54,501.00**	**54,501.00**	**54,501.00**
Base	8,083.50	8,083.50	8,083.50	8,083.50	**32,334.00**	8,083.50	8,083.50	8,083.50	8,083.50	**32,334.00**	**32,334.00**	**32,334.00**	**32,334.00**
Bear	2,208.50	2,208.50	2,208.50	2,208.50	**8,834.00**	2,208.50	2,208.50	2,208.50	2,208.50	**8,834.00**	**8,834.00**	**8,834.00**	**8,834.00**
Bowling Center Driver													
Bowling Centers at Beginning of Quarter	328	339.5	351	362.5	328	374	385.5	397	408.5	374	420	466	512
Bowling Centers Opened During Period	4	4	4	4	16	4	4	4	4	16	16	16	16
Bowling Centers Aquired During Period	7.5	7.5	7.5	7.5	**30**	7.5	7.5	7.5	7.5	**30**	**30**	**30**	**30**
Bowling Centers Closed During Period	-	-	-	-	-	-	-	-	-	-	-	-	-
Bowling Centers at End of Quarter	339.5	351	362.5	374	374	385.5	397	408.5	420	420	466	512	558
Total Bowling Center Revenue	**243,415.50**	**251,499.00**	**259,582.50**	**267,666.00**	**1,022,163.00**	**275,749.50**	**283,833.00**	**291,916.50**	**300,000.00**	**1,151,499.00**	**1,280,835.00**	**1,410,171.00**	**1,539,507.00**
% Change	*3.43%*	*3.32%*	*3.21%*	*3.11%*	*-1.84%*	*3.02%*	*2.93%*	*2.85%*	*2.77%*	*12.65%*	*11.23%*	*10.10%*	*9.17%*
Revenue from Walk in Retail	142,641.48	147,378.41	152,115.35	156,852.28	598,987.52	161,589.21	166,326.14	171,063.07	175,800.00	674,778.41	750,569.31	826,360.21	902,151.10
% Change	*3.44%*	*3.32%*	*3.21%*	*3.11%*	*-13.30%*	*3.02%*	*2.93%*	*2.85%*	*2.77%*	*12.65%*	*11.23%*	*10.10%*	*9.17%*
% of Total Bowling Center Revenue	*58.60%*	*58.60%*	*58.60%*	*58.60%*	*58.60%*	*58.60%*	*58.60%*	*58.60%*	*58.60%*	*58.60%*	*58.60%*	*58.60%*	*58.60%*
Revenue from Group Events	60,561.78	62,572.95	64,584.13	66,595.30	254,314.15	68,606.48	70,617.65	72,628.83	74,640.00	286,492.95	318,671.75	350,850.54	383,029.34
% Change	*3.43%*	*3.32%*	*3.21%*	*3.11%*	*11.27%*	*3.02%*	*2.93%*	*2.85%*	*2.77%*	*12.65%*	*11.23%*	*10.10%*	*9.17%*
% of Total Bowling Center Revenue	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*	*24.88%*
Revenue from League & Tournaments	40,212.24	41,547.63	42,883.03	44,218.42	168,861.33	45,553.82	46,889.21	48,224.61	49,560.00	190,227.63	211,593.94	232,960.25	254,326.56
% Change	*3.43%*	*3.32%*	*3.21%*	*3.11%*	*38.55%*	*3.02%*	*2.93%*	*2.85%*	*2.77%*	*12.65%*	*11.23%*	*10.10%*	*9.17%*
% of Total Bowling Center Revenue	*16.52%*	*16.52%*	*16.52%*	*16.52%*	*16.52%*	*16.52%*	*16.52%*	*16.52%*	*16.52%*	*16.52%*	*16.52%*	*16.52%*	*16.52%*
MoneyBowl Driver													
MoneyBowl Centers	79.55	95.1	110.65	126.2	126.2	141.75	157.3	172.85	188.4	188.4	250.6	312.8	375
% Growth	*24.30%*	*19.55%*	*16.35%*	*14.05%*	*97.19%*	*12.32%*	*10.97%*	*9.89%*	*9.00%*	*49.29%*	*33.01%*	*24.82%*	*19.88%*
% of Total Centers	*23.84%*	*27.55%*	*31.02%*	*34.27%*	*35.95%*	*37.33%*	*40.20%*	*42.92%*	*45.48%*	*47.46%*	*56.57%*	*63.97%*	*70.00%*
MoneyBowl App Downloads	74,578	89,156	103,734	118,313	118,313	132,891	147,469	162,047	176,625	176,625	234,938	293,250	351,563
% Growth	*24.30%*	*19.55%*	*16.35%*	*14.05%*	*97.19%*	*12.32%*	*10.97%*	*9.89%*	*9.00%*	*49.29%*	*33.01%*	*24.82%*	*19.88%*

Source: Company Filings

Income Statement Model

Revenue in Thousands USD

Fiscal Period	2024 Q1E	2024 Q2E	2024 Q3E	2024 Q4E	FY 2024E	2025 Q1E	2025 Q2E	2025 Q3E	2025 Q4E	FY 2025E	FY 2026E	FY 2027E	FY 2028E
Revenue	259,245.06	279,111.69	302,019.88	327,469.63	1,167,846.25	353,210.94	379,243.81	405,568.25	432,184.25	1,570,207.25	2,000,728.25	2,449,909.25	2,917,750.25
Cost of Goods Sold	175,051.40	188,115.48	203,555.13	220,707.73	787,429.75	238,056.84	255,602.46	273,344.58	291,283.21	1,058,287.10	1,348,449.31	1,651,187.99	1,966,503.11
% Margin	*68%*	*67%*	*67%*	*67%*	*67%*	*67%*	*67%*	*67%*	*67%*	*67%*	*67%*	*67%*	*67%*
Gross Profit	84,193.66	90,996.20	98,464.75	106,761.89	380,416.50	115,154.10	123,641.35	132,223.67	140,901.04	511,920.15	652,278.94	798,721.26	951,247.14
Net SG&A	3,309.20	3,913.36	4,234.55	4,591.37	16,048.47	4,952.28	5,317.28	5,686.37	6,059.55	22,015.49	28,051.72	34,349.58	40,909.06
% Margin	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*	*1%*
EBITDA	80,884.46	87,082.85	94,230.20	102,170.52	364,368.03	110,201.81	118,324.07	126,537.29	134,841.49	489,904.66	624,227.21	764,371.69	910,338.08
% Margin	*31%*	*31%*	*31%*	*31%*	*31%*	*31%*	*31%*	*31%*	*31%*	*31%*	*31%*	*31%*	*31%*
Depreciation & Amort.	30,155.91	32,466.84	35,131.57	38,091.93	135,846.25	41,086.21	44,114.41	47,176.52	50,272.55	182,649.70	232,728.78	284,978.42	339,398.64
EBIT	50,728.55	54,616.01	59,098.64	64,078.59	228,521.78	69,115.60	74,209.66	79,360.77	84,568.94	307,254.96	391,498.44	479,393.26	570,939.44
% Margin	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*
Interest Expense	(23,615.00)	(23,615.00)	(23,615.00)	(23,615.00)	(94,460.00)	(23,615.00)	(23,615.00)	(23,615.00)	(23,615.00)	(94,460.00)	(94,460.00)	(94,460.00)	(94,460.00)
EBT Excl. Unusual Items	27,113.55	31,001.01	35,483.64	40,463.59	134,061.78	45,500.60	50,594.66	55,745.77	60,953.94	212,794.96	297,038.44	384,933.26	476,479.44
Income Tax Expense	6,778.39	7,750.25	8,870.91	10,115.90	33,515.45	11,375.15	12,648.66	13,936.44	15,238.48	53,198.74	74,259.61	96,233.32	119,119.86
Tax Rate	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*	*25%*
Net Income	20,335.16	23,250.76	26,612.73	30,347.69	100,546.34	34,125.45	37,945.99	41,809.33	45,715.45	159,596.22	222,778.83	288,699.95	357,359.58
% Margin	*8%*	*8%*	*9%*	*9%*	*9%*	*10%*	*10%*	*10%*	*11%*	*10%*	*11%*	*12%*	*12%*
Capital Expenditure	(43,929.64)	(47,296.09)	(51,177.93)	(55,490.44)	(197,894.10)	(59,852.37)	(64,263.69)	(68,724.43)	(73,234.57)	(266,075.05)	(339,027.78)	(415,142.48)	(494,419.16)

Sources: Roth-MKM